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1. Which of the following conditions is not required for the Fundamental Welfare Theorem of economics to guarantee that market outcomes are Pareto efficient?
- A. Markets are complete
 - B. Perfect Information
 - C. Common currency used for all transactions
 - D. Perfect competition/no firm profits
 - E. All of these conditions are necessary
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2. Which economist is most closely associated with the private vices can be public virtues when individual pursue self-interested goals in the context of free markets?
- A. Adam Smith
 - B. Freidrich Hayek
 - C. Ronald Coase
 - D. Joseph Schumpeter
 - E. Karl Marx
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3. Suppose that there is a decline in a firm's market power in relevant product markets. What is the immediate impact that you would expect to see on that firm's income statement?
- A. An increase in net income
 - B. A decrease in net income
 - C. An increase in shareholder's equity
 - D. A decrease in shareholder's equity
 - E. It would have no impact
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4. In the AT&T antitrust cases that you read about, what did the authors of the readings conclude was the long-term impact of the 1956 consent decree and the 1982 breakup?
- A. Higher prices for consumers
 - B. Lower prices for consumers
 - C. Increased Innovation
 - D. More entry into the long-distance market
 - E. More entry into the local exchange market
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5. Which of the following features of laissez-faire U.S. capitalism was not a concern that contributed to the rise of progressive and socialist thought?
- A. Absence of consumer protection
 - B. Unsafe working conditions
 - C. Income inequality
 - D. High Tariffs
 - E. All of these factors contributed
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6. According to the "Note on Market Failures and the roles of Business and Governments", which of the following is not one of the ways that firms obtain market power?
- A. Taking advantage of negative externalities
 - B. Merging to monopoly
 - C. Leveraging economies of scale
 - D. Collusion
 - E. Relying on intellectual property rights, such as patents or copyrights
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7. Which political and economic system is most closely associated with the idea that nation states should have democratic governance while intervening in markets as necessary to address market failures and ensure an equitable distribution of income?
- A. Feudalism
 - B. Mercantilism
 - C. Capitalism
 - D. Socialism
 - E. Communism
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8. Which of the following is the best example of arbitrage?
- A. Purchasing inputs and manufacturing a product that is sold at a profit
 - B. Buying an apartment, holding it for a period of years, and selling it at a higher price
 - C. Buying snacks at the supermarket, taking them out to the sidewalk on the same day, and selling them at a higher price
 - D. Borrowing money from the banks and then lending it out at a higher interest rate
 - E. Getting angry at the world for no apparent reason
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9. Stockbrokers normally use a standardized set of legal contracts when a customer buys shares in a public company, instead of hiring a lawyer to draft a new agreement for each purchase. In this example, standardization addresses what type of market failure?
- A. Market Power
 - B. Negative Externalities
 - C. Incomplete information
 - D. Transaction costs
 - E. All of the above
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10. Which of these is the best example of a matching market?
- A. Product market for automobiles
 - B. Input market for electricity
 - C. College admissions process
 - D. New York Stock Exchange
 - E. All of the above
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11. Three business strategies for creating and/or capturing value in markets with negative externalities are:
- (i) free-riding,
 - (ii) taking advantage of a government policy that aims to address the externality, and
 - (iii) developing an innovation that addresses the externality.
- Give one example of each strategy (they can address different externalities or the same one).
- (10 pts)

(Please write your essay response on a separate piece of paper)

12. There is a new apartment building under construction just above the Massachusetts Turnpike on Brookline Avenue. Suppose there are two identical apartments for sale on the 10th floor. Both cost \$400,000 to build. A buyer is willing to pay up to \$1.2 million for the apartment on the East Side of the building (where you can see into Fenway Park) and \$750,000 for the apartment on the West side (where you can only see Boston University).
- If the buyer purchases the unit with a view of Fenway for \$900,000, how much value is captured by the buyer and seller respectively?
 - What is the size of the externality that the Red Sox create in this scenario and who benefits from that externality?
 - If the Red Sox owned the apartment building, would there still be an externality?

(10 pts)

(Please write your essay response on a separate piece of paper)

13. Why does Josef Schumpeter refer to innovation as a process of “creative destruction”?
- Briefly explain the “Schumpeterian” idea that market competition can be both good and bad for innovation, and give two examples of government policy that encourage innovation by (i) increasing and (ii) decreasing competition (**one example each**).
- (10pts)

(Please write your essay response on a separate piece of paper)

14.

This is a case question. Please read all the way to the bottom before you start answering the questions. There will be a confirmation at the bottom of this page stating you have indeed read all of the available information.

The following information is sufficient to answer all of the questions below, but you may also draw upon your own knowledge if you think it would be useful.

Insurance and the Affordable Care Act

Health insurance is a very complex product. At a high level, an insurance policy is an agreement that a provider (seller) will pay money to the beneficiary (buyer) only if specific kinds of medical care are required. Because there are many kinds of medical care, and because the idea of “required” care is somewhat subjective, insurance contracts are typically extremely detailed and often difficult to understand.

For an insurance provider to remain in business, the price of its policies must be greater than the average medical care costs of its customers. For that reason, insurance companies sometimes refuse to sell certain policies to people who are already sick (which is called a “pre-existing condition.”)

Most Americans who are not eligible for Medicare or Medicaid (two government-sponsored insurance plans) will purchase insurance through their employer. Large employers typically negotiate directly with an insurance provider and then offer their employees a handful of options to choose from. Small employers and individuals who do not have access to employer-provided health insurance can purchase a plan directly from an insurer.

In 2010, 16 percent of American had no health insurance coverage. That year, Congress passed that the Patient Protection and Affordable Care Act (PPACA). The PPACA did several things:

- It created strong financial incentives for States to create “insurance exchanges” where individuals could purchase private health insurance plans.
- It required that plans offered on the exchanges had to follow certain rules, including (a) no denying coverage to individuals with a pre-existing health condition, and (b) the policies must pay for certain common types of accident or illness.
- It imposed tax penalties on individuals who did not purchase any health insurance through either their employer, a government program, or an exchange.

The tax penalties in the PPACA were very controversial, and narrowly survived challenges in the US Supreme Court. By 2024, however, the share of uninsured Americans had fallen to around 8 percent.

Q1. When a large firm negotiates with a health insurance company on behalf of its employees, who is the Principal and who is the Agent?

Q2. Describe a potential market failure in the market for individual health insurance that is similar to a market failure in the market for used cars.

Q3. How do the tax penalties, which insurance companies lobbied heavily to include in the PPACA, address the market failure in part (b)?

Q4. Will the standardization of the insurance products sold through the exchanges increase or reduce competition for those products? Please explain your answer.

Q5. Explain why the PPACA can be considered a move away from “laissez-faire” capitalism towards a “mixed economy.”

You have reached the end of this CASE. There are 5 (five) questions for you to answer worth a total of 20 points.

(Please write your essay response on a separate piece of paper)